

As in 1968, the cause of today's persistent split among advisory bears is that a fair percentage of seasoned analysts can see the flagrant overvaluation and widespread public speculation, and they know their meaning. In markets ruled by a frenzied public, a few seasoned pros are bearish for good reason and are loathe to change their opinion.

Thus, today's bears have counterparts at the tops of this century's two most similar market junctures in terms of public participation: 1929 and 1968. A stubborn contingent of bearish independent advisors and other seasoned investors at certain market tops is not a unique phenomenon, but in fact normal behavior at the biggest tops of all, the ones that sport heated public involvement. Thus, the cavalier assessment that "there are too many bears" is simply a psychological hook.

Knocking Off The Elliott Wave Theorist

Markets must, by definition (see Chapter 10), turn when the majority is looking for a continuation of the existing trend. The Elliott Wave forecast for a 1987 high was widely publicized. In undertaking a Fibonacci 8-year time extension and exceeding my original target, the market has left that problem completely behind. *The Elliott Wave Theorist* neglected to heed its own warning in October 1983 that "turning major-trend bearish too early will be the biggest mistake you can make." I forecasted my error in *The Wall Street Journal* of March 18, 1987, predicting, "I'm probably going to be wrong about something in a big way around the top. Undoubtedly the top will take too long, and I'll probably express caution too early, in which case people will say baloney on this crash stuff."

Sure enough, after exiting near the high in 1987, I concluded after the crash that the bull market was probably over and did not re-enter the market. Even after the market made new highs, the advent of the new horde of green investors, who were buying stocks like catfish in a feeding frenzy, kept me too cautious to recommend buying the market as a whole. To this day, the 1987 high has stood as the best exit point for the average stock (see Figure 8-4). What's more, EWT's mining stock recommendations plus T-bill interest have done *better* than owning the S&P since that time. Still, few are paying attention. Who wants to heed someone who has been too cautious on one of his markets for eight years? As required and anticipated, the market's imperative has supplied investors a reason to discount Prechter's opinion. As a result, few will be anxiously awaiting the